e. Are short-term borrowings perpetual or for a particular purpose? What is that purpose?

The company might take a short-term borrowing for 2-3 years and then pay back the amount. This might happen when the company enters into a new product line or into a new market and needs working capital.

However, it is possible that the company has kept short term debt on its Balance Sheet for a very long period of time with continuous refinancing. It is important to understand how the company thinks about short term debt and what do they use it for?

Are they using it as a low-cost borrowing option by perpetual refinancing or for specific short-term use?

For companies that are constantly refinancing, **if the market does not allow liquidity of assets, will they be able to attract refinancing?** This is the pressing question that needs to be asked. We must also evaluate if the company has liquid assets in case refinancing does not go through in difficult conditions.